LoanBazaar®
Secure Distribution Venture Pvt. Ltd.

What is BG Discounting Product ?

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Module 1: Theoretical Foundations and Product Philosophy of Bank Guarantee (BG) Discounting

In the high-stakes arena of Indian corporate treasury and working capital optimization, asset-liability mismatches and trade-level payment delays represent the single greatest threat to business survival. While standard credit pathways like Cash Credit (CC) lines or unsecured trade loans rely heavily on the borrower's own asset base and balance sheet strength, structured trade finance shifts the underwriting paradigm. Bank Guarantee (BG) Discounting stands as a premier instrument in this structured ecosystem, acting as a transactional shield that unlocks operating liquidity by substituting private commercial risk with institutional banking security.

1.1 The Concept of BG Discounting

BG Discounting (often structured as Bill Discounting under Bank Guarantee) is a fund-based working capital credit facility wherein a financial institution (the financier/discounter) advances immediate funds to a seller against trade bills or invoices that are backed, secured, or co-accepted by an unconditional, irrevocable bank guarantee issued by the buyer's bank. In this structure, the financier is not underwriting the creditworthiness of the local buyer or the small exporter. Instead, the transaction is underwritten on the credit strength of the guaranteeing bank. Upon maturity, the primary settlement occurs when the buyer pays the escrow. If the buyer defaults on the payment at maturity, the financier possesses the absolute, non-recourse legal right to invoke the bank guarantee, forcing the guarantor bank to immediately pay the full face value of the bill.

1.2 The Post-2018 Regulatory Overhaul and SWIFT MT760 Integration

The historical landscape of bank-backed credit in India experienced a massive disruption in March 2018. Following the unprecedented systemic fraud at Punjab National Bank (PNB)—where rogue trade instruments known as Letters of Undertaking (LoUs) and Letters of Comfort (LoCs) were issued fraudulently over disconnected SWIFT terminals without core banking integration—the Reserve Bank of India (RBI) banned all LoUs and LoCs for trade credits. This regulatory mandate forced a monumental transition. All structured trade lines were pushed into highly transparent, core banking system (CBS)-integrated Usance LCs and fully underwritten Bank Guarantees.

Today, a valid bank guarantee used for trade credit must be transmitted securely between banks via the interbank SWIFT network using specific messaging standards. The standard bank guarantee is issued via **SWIFT MT700/MT760** (for initial issuance) and amended via **MT767**. The interbank SFMS (Structured Financial

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Messaging System) ensures that the guarantee is registered within the domestic banking portal, eliminating the risk of paper guarantee forgery. For any rookie in finance, understanding the transition from unmonitored paper-based trade confirmations to secure, electronic interbank SWIFT pipelines is fundamental.

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Module 2: Structural Comparative Taxonomy

To properly evaluate where BG Discounting fits within corporate finance, one must understand its structural boundaries. The following detailed matrix contrasts BG Discounting with Letter of Credit (LC) Discounting, Bilateral Factoring, and Unsecured Working Capital Loans across six operational and credit dimensions.

Dimension	BG Discounting	LC Discounting	Bilateral Factoring	Unsecured Loans
Primary Underwriting Credit Risk Focus	Guarantor Bank's institutional credit rating & Capital Adequacy.	Issuing Bank's financial standing and interbank ceiling.	Sellers' and Buyers' joint commercial risk & payment dilution.	Borrower's asset coverage, cash flows, and debt service ratio.
Standard Recourse Terms	Generally non-recourse to seller, backed by unconditional bank guarantee.	Strictly non-recourse once compliant shipping docs are presented.	Can be with or without recourse depending on factoring agreement.	Always with full recourse to the borrowing corporate entity.
Collateral & Charge Creation	No physical asset collateral required; secured by SWIFT MT760 charge.	No collateral required; backed by documentary credit mechanisms.	Charges registered with CERSAI under Section 130 of TPA, 1882.	Heavy security required (primary stock hypothecation + fixed assets).
Average Tenure Offered	Usance tenures ranging from 30 to 180 days (extendable up to 360 days).	Usance tenures up to 180 days (highly structured around shipping).	30 to 90 days matching the average invoice usance cycle.	Revolving lines of 12 months or term loans of 3 to 5 years.

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Module 3: The End-to-End Operational Lifecycle of BG Discounting

Any financial professional executing a BG Discounting program must master the systematic, chronological transaction flow. Below is the precise 11-step pipeline designed to prevent operational errors.

1. Commercial Sales Agreement: The exporter (Seller) and corporate importer (Buyer) sign a commercial trade contract specifying that payment usance is backed by an unconditional Bank Guarantee.

2. Bank Guarantee Issuance: The Buyer approaches their bank (the Issuing/Guarantor Bank) to open a trade Bank Guarantee. The bank processes it and transmits the guarantee via SWIFT MT700/MT760 directly to the Seller's bank (the Confirming/Advising Bank).

3. Verification and SFMS Confirmation: The Confirming Bank verifies the electronic Bank Guarantee against the interbank SFMS portal, certifying its authenticity to the Seller.

4. Manufacturing and Despatch of Cargo: The Seller manufactures the cargo and ships it to the Buyer, obtaining regulatory documents like the clean Bill of Lading (B/L) or Lorry Receipt (LR) alongside the commercial invoice and tax E-Way Bill.

5. Drawings and Bill of Exchange: The Seller compiles the commercial invoice, custom shipping bills, and drafts a Usance Bill of Exchange (Draft) directing the Buyer to pay on a specified future date (e.g., 90 or 120 days from dispatch).

6. Submission of Shipping Documents: The Seller submits these commercial shipping documents and the Bill of Exchange directly to their trade financier (the Discounting Bank) under the pre-sanctioned BG Discounting limit.

7. Document Auditing and Pre-Disbursal Verification: The Discounting Bank audits the invoices, shipping bills, and validates that the transaction matches the scope and validity of the underlying Bank Guarantee.

8. Advanced Payout (The Discounting Event): The Discounting Bank applies the agreed-upon interest discount rate and margin haircut, advancing the net discounted principal directly to the Seller's Current Account on a non-recourse basis.

9. E-Way Bill & GSTN Portal Reconciliation: The bank's system automatically matches the invoice data against the GSTN API portals, checking GSTR-1 filings to ensure the trade is authentic and has not been dual-financed.

10. Maturity and Normal Settlement: At usance maturity, the Buyer remits the invoice value directly to the structured Escrow/Collection Account maintained with the Discounting Bank, fully liquidating the credit tranche.

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11. Default and Guarantee Invocation: If the Buyer defaults on maturity, the Discounting Bank executes an immediate unilateral invocation of the Bank Guarantee via SWIFT MT760/MT767, forcing the Guarantor Bank to pay the full outstanding value.

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Module 4: Transactional Credit Underwriting & Risk Metrics

Underwriting a structured BG Discounting limit diverges entirely from traditional balance-sheet-heavy underwriting. Rather than focusing solely on the exporter's local fixed assets, the credit appraisal system analyzes transactional data, banking counterparty risk, and credit ratings.

4.1 The Underwriting Trinity

The credit committee evaluates risk across three distinct layers:

- The Exporter (Seller): While the transaction is bank-backed, the Seller must maintain a professional operating track record. Underwriters review the promoter's personal CIBIL score (recommending >700) and the firm's CIBIL MSME Rank (CMR 1 to 4). High debt leverage is accepted if cash flows are transparently managed through escrow accounts.
- The Guarantor Bank (Buyer's Bank): This is the focal point of risk. The discounting bank sets interbank exposure ceilings based on the guarantor bank's Basel III Capital Adequacy Ratio (CAR > 12.0% regulatory benchmark), Tier-1 Capital structure, Net NPA percentages (<2.0% preferred), and domestic credit ratings (Fitch/Moody's/CRISIL AAA/AA ratings). Speculative or distressed co-operative banks are generally rejected.
- The Transaction and Dilution Margin: Exporters often face invoice dilution due to commercial discounts, product damages, or transport-level returns. Underwriters analyze the historical invoice dilution rate (typically <2.50%) and set a safety margin haircut (e.g., 10% to 20% margin reserve) to protect the advanced principal from trade-level returns.

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Module 5: Legal Framework, Security Creation, and Documentation

The legal enforceability of structured trade finance protects both banks and buyers. A rookie in finance must master the statutory acts that govern security creation and charge registration in India.

5.1 Legal Foundations of the Bank Guarantee

Under Section 126 of the Indian Contract Act, 1872, a contract of guarantee is defined as a contract to perform the promise, or discharge the liability, of a third person in case of his default. The guarantor bank's liability is absolute and co-extensive with that of the principal debtor. In the case of an irrevocable and unconditional Bank Guarantee, Indian courts have consistently ruled that except in cases of egregious fraud, the bank is legally bound to pay immediately upon invocation, without questioning the underlying trade disputes between the buyer and seller.

5.2 Transfer of Property Act, 1882 and CERSAI Mandates

- Section 130 of the Transfer of Property Act, 1882: The book debts or future trade receivables of the exporter are legally classified as 'actionable claims'. Under Section 130, these actionable claims are assigned absolutely to the discounting bank via a structured deed of assignment. This legal assignment transfers the absolute right of recovery to the bank.
- The Tripartite Non-Dispute Covenant: The Buyer, Seller, and Financier sign an agreement containing an absolute 'Non-Dispute Covenant'. Once the Buyer accepts the invoice and it is matched against the BG, the Buyer contractually waives any rights of set-off or trade-level deductions, preventing cash flow disruptions.
- Mandatory 10-Day CERSAI Registration: Under the Factoring Regulation Act, 2011 (and the landmark 2021 Amendments), all receivable purchase and assignment transactions must be registered with the Central Registry of Securitisation Asset Reconstruction and Security Interest (CERSAI) within a strict statutory 10-day window. This registration prevents duplicate invoice pledging and establishes absolute legal seniority for the discounting bank.

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Module 6: Sectoral Sizing, Suitable Industries, and Ecosystem Market Alignment

BG Discounting is highly suited for high-growth sectors with significant capital requirements and structured procurement cycles.

6.1 Ideal Sectoral Application

- Steel & Heavy Engineering: Steel mills and mineral producers utilize BG-backed structures to facilitate bulk procurements of coal, scrap, and alloy metals.
- Infrastructure & Civil EPC: Construction giants executing government road projects or civil works require massive raw material supplies, backing cement and steel bills with BGs.
- Consumer Electronics (PLI Framework): Under India's PLI Electronic Vision 2030, tech manufacturers secure raw material and semiconductor imports using bank guarantees to access prime capital.

6.2 Market Sizing and Borrowing Demographics

Citing credit registry data from the SIDBI/CIBIL MSME Pulse reports, the micro and small enterprise sector remains heavily reliant on cash credit, but structured supply chain finance has grown exponentially. Specifically, Retail and Wholesale Traders represent the largest segment of working capital borrowers, making up 44% of total active commercial borrowers in the ₹10 Lakh to ₹2 Crore exposure segment. These borrowers utilize structured bank guarantees to source inventory from manufacturing giants.

Furthermore, domestic commercial banks have fully digitized their supply chain portals to support automated discounting. The State Bank of India (SBI) leads the public sector with its industry-leading Electronic Dealer Financing Scheme (e-DFS), representing over ₹49,261 Crores in active exposure, and its Electronic Vendor Financing Scheme (e-VFS) with an exposure of ₹28,092 Crores. These structures highlight the massive scale of bank-backed supply chain lines in India.

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Module 7: Commercial Pricing Mechanics and Financial Models

Understanding the pricing economics of BG Discounting is critical for any treasury officer or corporate CFO. The transaction costs are composed of interest components, bank processing fees, and GST.

7.1 Core Pricing Components

- Daily Reducing Balance Interest: The interest is calculated on a daily reducing balance on the advanced principal. It is benchmarked against the external EBLR (External Benchmark Lending Rate) or MCLR (Marginal Cost of Funds based Lending Rate) plus a bank risk spread.
- Bank Guarantee Commission: The buyer's bank charges an upfront annual commission (typically 1.0% to 2.50% p.a.) to issue the guarantee.
- Upfront Processing Fees: Discounting banks charge a nominal transaction fee (0.10% to 0.50% of the invoice face value).
- GST Rules for Trade Finance: Under Indian tax guidelines, core interest and bill discounting components are completely exempt from GST. However, upfront processing fees, collateral management fees, and bank guarantee issuance commissions attract a standard 18% GST (which qualifies for corporate Input Tax Credit).

7.2 The Post-Tax Interest Tax Shield

Under Section 36(1)(iii) of the Income Tax Act, 1961, any interest paid in respect of capital borrowed for the purposes of the business or profession is fully deductible as an operating expense. This deduction creates a post-tax Interest Tax Shield, significantly reducing the effective cost of financing. For a corporate taxed at the domestic rate of 25.17%, the formula for the effective post-tax interest rate is:

Effective Post-Tax Rate = Nominal Interest Rate * (1 - Corporate Tax Rate)

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Module 8: Regulatory Compliance, IRACP Norms, and Digital Lending Guidelines

Structured trade finance portfolios are bound by strict prudential regulations. Any rookie must understand the RBI's guidelines on asset classification and digital lending to prevent compliance failure.

8.1 RBI IRACP and Asset Classification Norms

Under the RBI's Income Recognition, Asset Classification, and Provisioning (IRACP) guidelines, banks must monitor accounts for signs of credit deterioration. Accounts are classified under Special Mention Account (SMA) stages before becoming Non-Performing Assets (NPAs):

- SMA-0: Principal or interest payment overdue for 1 to 30 days.
- SMA-1: Principal or interest payment overdue for 31 to 60 days.
- SMA-2: Principal or interest payment overdue for 61 to 90 days.
- NPA (Non-Performing Asset): Overdue exceeds a strict 90-day threshold.

8.2 The 'Out of Order' Trigger for Revolving Cash Credits

For revolving working capital lines like Cash Credits, an account is classified as 'Out of Order' (and marked as an NPA) if:

- The outstanding balance remains continuously in excess of the sanctioned limit or drawing power for 90 days.
- The outstanding balance is less than the sanctioned limit/DP, but there are no credits for 90 consecutive days.
- The credits during the prior 90-day window are insufficient to cover the interest debited in the same period.

8.3 180-Day Technical NPA Triggers

To prevent banks from masking distressed assets, the RBI mandates that an account is automatically classified as an NPA if the facility is not formally renewed within 180 days from its original expiry date, or if the mandatory stock statements are delayed past 180 days.

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8.4 RBI Digital Lending & LSP Capping

Under the updated RBI Digital Lending Guidelines, Lending Service Providers (LSPs) acting as digital trade aggregators are prohibited from offering unlimited credit cushions. Default Loss Guarantee (DLG) arrangements—where an LSP indemnifies the bank against borrower defaults—are strictly capped at a maximum of 5.0% of the aggregate loan portfolio exposure, safeguarding the systemic health of the financial system.

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Module 9: Comprehensive Real-World Case Study

To ground these theoretical concepts, let us review a fully worked mathematical scenario in Indian Rupees, contrasting standard credit pathways with structured BG Discounting.

9.1 The Corporate Scenario

Vibrant Steel & Alloy Infrastructure Pvt. Ltd. (VSAIPL, corporate tax rate of 25.17%) secures a contract to supply fabricated structural steel components worth ₹5,00,00,000 (₹5 Crores) to a heavy engineering conglomerate, Apex Heavy Infra Ltd. (AHIL, banking with AAA-rated SBI). The usance period is agreed at 120 days from dispatch, backed by an unconditional SBI Bank Guarantee.

VSAIPL evaluates two financing pathways:

9.2 Pathway A: Standard domestic Cash Credit (CC) Line @ 10.50% p.a.

- VSAIPL draws ₹5,00,00,000 against its domestic CC line.
- The interest is calculated daily on the outstanding ₹5,00,00,000 balance for the 120-day usance period.
- Interest Expense = ₹5,00,00,000 * 10.50% * 120 / 365 = ₹17,26,027.40
- Corporate Tax Shield (25.17% of Interest) = ₹4,34,441.10
- Net Post-Tax Cost under CC = ₹17,26,027.40 - ₹4,34,441.10 = ₹12,91,586.30

9.3 Pathway B: Structured BG Discounting Line @ 8.75% p.a.

- VSAIPL submits the ₹5 Crore invoice, bill of exchange, and SBI Bank Guarantee to its discounting bank.
- The bank applies a 10% safety margin haircut (₹50,00,000 margin reserve) and discounts the remaining 90% (₹4,50,00,000 advanced principal).
- 90-Day Interest Expense = ₹4,50,00,000 * 8.75% * 120 / 365 = ₹12,94,520.55
- Upfront Bank Processing Fee (0.20% on ₹4.5 Crore) = ₹90,000
- GST on Processing Fee (18%) = ₹16,200 (fully recoverable as Input Tax Credit)
- Gross Financing Expenses = ₹12,94,520.55 + ₹90,000 = ₹13,84,520.55
- Corporate Tax Shield (25.17% on Interest + Fee Base of ₹13,84,520.55) = ₹3,48,483.82
- Net Post-Tax Cost under BG Discounting = ₹13,84,520.55 - ₹3,48,483.82 = ₹10,36,036.73

9.4 Financial Comparison & Strategic Treasury Analysis

By opting for the structured BG Discounting program, VSAIPL's treasury team realizes significant advantages:

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- Direct Post-Tax Cash Savings: VSAIPL saves ₹2,55,549.57 in net financing costs on a single transaction cycle.
- Balance Sheet Cleanliness: The advanced principal is treated as an asset derecognition under Ind AS 109, keeping debt leverage ratios clean and protecting cash credit drawing power for emergency raw material spikes.
- Absolute Risk Mitigation: If Apex Heavy Infra Ltd. defaults on Day 120, SBI is legally bound to pay the ₹5 Crores. VSAIPL's cash flow is 100% insulated from any commercial insolvency.

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Module 10: 10-Question Certification Examination

The following professional-grade certification exam is designed to test a rookie's understanding of the legal, commercial, and regulatory concepts of Bank Guarantee Discounting. Answer keys and rationales follow.

Module 10.1: Question 1 (The Post-2018 Trade Ban)
Following the March 2018 Punjab National Bank systemic fraud, the Reserve Bank of India (RBI) permanently banned which of the following trade finance instruments for raising trade credits, shifting banks strictly to LCs and Guarantees?
A) Letters of Credit (LCs)
B) Letters of Undertaking (LoUs) and Letters of Comfort (LoCs)
C) Bill Purchase Facilities
D) Trust Receipts (TRs)

Correct Option: B
Rationale: The RBI banned LoUs and LoCs permanently in March 2018 due to systemic risk, pushing all trade credit into CBS-integrated instruments.

Module 10.2: Question 2 (Legal Foundations of Guarantee Contracts)
Under which specific statutory section of the Indian Contract Act, 1872 is a contract of guarantee defined, and what is its primary implication regarding a guarantor bank's liability in the case of an unconditional Bank Guarantee?
A) Section 130; liability is always secondary and dependent on physical cargo audits.
B) Section 126; liability is absolute, unconditional, co-extensive, and must be paid upon unilateral invocation without questioning underlying disputes.
C) Section 172; creates a constructive pledge over physical book debts.
D) Section 281; restricts the bank's ability to issue guarantees without tax clearances.

Correct Option: B
Rationale: Section 126 of the Indian Contract Act, 1872 defines a contract of guarantee. In unconditional commercial bank guarantees, the bank's obligation is independent of the commercial dispute between the seller and buyer.

Module 10.3: Question 3 (Receivable Assignment & Actionable Claims)
Under Indian statutory laws, trade receivables are legally classified as 'actionable claims' and assigned to financiers under which specific Act and Section, and what is the statutory window for registering this charge with CERSAI?
A) Section 172 of the Indian Contract Act, 1872; registered within 30 days.
B) Section 130 of the Transfer of Property Act, 1882; registered within a strict 10-day statutory window under the 2021 Factoring Amendments.
C) Section 36(1)(iii) of the Income Tax Act, 1961; registered within 180 days.
D) Section 10(1)(b) of the IGST Act, 2017; registered on the same business day.

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Correct Option: B
Rationale: Section 130 of the Transfer of Property Act, 1882 governs the assignment of actionable claims, while the Factoring Regulation (Amendment) Act, 2021 mandates registration with CERSAI within 10 days of transaction execution.

Module 10.4: Question 4 (The 'Out of Order' Trigger)
Under the RBI's IRACP and asset classification guidelines, a revolving Cash Credit (CC) working capital account is classified as 'Out of Order' (and marked as an NPA) if which of the following criteria is met?
A) The outstanding balance is less than the drawing power but stock statements are delayed by 15 days.
B) The account remains continuously in excess of the sanctioned limit or drawing power for 90 days, or credits are insufficient to cover interest debited in the same prior 90-day window.
C) The promoter's CIBIL score drops below 650 during a quarterly audit.
D) Upfront processing fees have not been paid on the due date.

Correct Option: B
Rationale: The RBI IRACP directions explicitly state that a revolving cash credit is 'Out of Order' if the limit is exceeded for 90 days or if credits fail to cover interest debited in the 90-day window.

Module 10.5: Question 5 (180-Day Technical Default)
To prevent banks from masking distressed trade accounts, what is the maximum permissible delay for a formal facility renewal or stock statement submission before an account is automatically classified as a Non-Performing Asset (NPA)?
A) Delayed past a strict 90-day window from the due date.
B) Delayed past a strict 180-day window from the original expiry or statement due date.
C) Delayed past 360 days under the automatic restructuring route.
D) There is no technical default trigger if the guarantor bank's Basel III CAR is above 12.0%.

Correct Option: B
Rationale: Under RBI guidelines, an account is automatically classified as an NPA if stock statements are delayed past 180 days, or if a credit line is not formally renewed within 180 days of its expiry.

Module 10.6: Question 6 (GST Treatment of Bill Discounting)
How is the GST applied strictly to structured BG and Bill Discounting transactions in India?
A) Core interest and discounting charges are completely GST-exempt, while upfront processing fees and BG issuance commissions attract a standard 18% GST.
B) A flat 18% GST is applied to the entire loan principal disbursed to the borrower.
C) Both interest and service fees are 100% exempt from GST under export promotion

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schemes.
D) Core interest is subject to 5% GST, which cannot be recovered as Input Tax Credit.

Correct Option: A
Rationale: Under Indian tax laws, interest is GST-exempt. All processing fees and bank service commissions are service components attracting 18% GST, which qualifies for ITC.

Module 10.7: Question 7 (Interest Tax Shield and Section 36(1)(iii))
An Indian corporate with a tax rate of 25.17% draws ₹1 Crore against a BG Discounting line at a nominal interest rate of 8.75% p.a. What is the effective after-tax cost of this financing, leveraging the Interest Tax Shield under Section 36(1)(iii) of the Income Tax Act, 1961?
A) 8.75% p.a.
B) 6.55% p.a.
C) 7.20% p.a.
D) 2.20% p.a.

Correct Option: B
*Rationale: Post-Tax Rate = 8.75% * (1 - 0.2517) = 6.547% p.a. (rounded to 6.55% p.a.).*

Module 10.8: Question 8 (FEMA Export Realization Timelines)
Under the Foreign Exchange Management Act (FEMA), 1999 and the RBI's 2025 Trade Relief Directions, what is the maximum statutory period permitted to realize and repatriate export proceeds to India, and the corresponding maximum trade credit tenure?
A) Must be realized within 180 days from the date of shipment; usance limits are capped at 90 days.
B) Must be realized within 9 months (extended to 15 months under 2025 Trade Relief Directions); usance credit limits can extend up to 450 days to shield exporters from logistical bottlenecks.
C) Realized within 3 years; usance limits capped at 12 months.
D) No repatriation timelines exist if transactions are cleared via EDPMS.

Correct Option: B
Rationale: FEMA mandates a standard 9-month realization window. The RBI 2025 Trade Relief Directions extended this window up to 15 months and usance credits up to 450 days to insulate exporters from shipping disruptions.

Module 10.9: Question 9 (The Underwriting Trinity: CAR Benchmark)
When evaluating the credit risk of the guarantor bank for setting BG Discounting exposure limits, which regulatory Basel III Capital Adequacy Ratio (CAR) is recommended as a safe benchmark?
A) Regulatory minimum of 5.50%.
B) Strong institutional benchmark of >12.0% CAR.

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C) Zero CAR restrictions apply if the bank is a public sector bank.
D) Minimum Tier-2 Capital of 15%.

Correct Option: B
Rationale: Banks look for strong institutional credit partners, setting risk ceilings on guarantor banks maintaining a healthy Basel III CAR exceeding 12.0%.

Module 10.10: Question 10 (RBI Digital Lending LSP Cap)
Under the RBI's updated Digital Lending Guidelines, Default Loss Guarantee (DLG) arrangements—where a third-party trade LSP indemnifies a bank against borrower default—are strictly capped at what maximum percentage of the aggregate loan portfolio exposure?
A) Capped at a maximum of 2.0% of the aggregate credit portfolio balance.
B) Capped at a maximum of 5.0% of the aggregate loan portfolio exposure.
C) Capped at a maximum of 10.0% of the aggregate loan portfolio exposure.
D) Guarantee arrangements are completely prohibited for digital supply chain portfolios.

Correct Option: B
Rationale: The RBI caps DLG structures strictly at 5.0% to prevent systemic under-the-radar credit risk transfer from unregulated entities to the banking sector.

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